

FMC pitch deck

PITCH — FMC — PROPOSED VERDICT: NO ENTRY — STAY FLAT; damage is still arriving and the “26% discount to a strategic buyer’s price” story fails on dates — PROPOSED — PENDING ADJUDICATION

What we believe

FMC (crop-chemicals maker, ~\$10.59 last trade, down 74% from its 52-week high and 6% off its low) is a business where the bad news is still landing, not one the market has mispriced. The idea that went to court was seductive: on June 30 the Belgian chemicals group Tessenderlo agreed to buy roughly 20% of FMC at **\$13.30 per share**, so a stock at \$10.59 looks like either a bet the deal breaks or a 26% free discount to what an informed industrial buyer just paid.

Both of our internal review benches — the one hired to attack the idea and the one hired to check the attacker — converged on the same answer: **that comparison is broken, because the two prices come from different information worlds.** Tessenderlo signed at \$13.30 on June 30, when FMC’s full-year guidance (\$670–730M EBITDA, \$1.63–\$1.89 EPS) had been reaffirmed on April 29. Twenty-nine days after signing, on July 29, management cut the year to \$620–680M EBITDA and \$1.19–\$1.49 EPS and guided third-quarter EBITDA down ~45%. Today’s price reflects that cut; the \$13.30 price never saw it. On top of that, Tessenderlo’s shares are locked up for 36 months, so the one party who “disagrees with the market” cannot buy the gap even if it wants to.

We further believe there is no acquisition safety net under this stock. The board announced a review of strategic options in February 2026 and it ended not in a sale but in a 20% minority investment. The whole company was effectively shopped, and no full bid cleared.

What the market believes

The market is pricing a company that: cut its year four weeks after taking strategic money; guided its next quarter’s EBITDA down by nearly half; just paid an 8.00% coupon on **\$1.2 billion of senior secured notes** (lenders demanded collateral — a junk-credit signal, even though the proceeds usefully retire the 3.20% notes that were due October 2026); and still needs roughly \$1.2 billion of second-half cash-ins (the \$400M Tessenderlo investment plus the India and Newark divestitures) to hit its own \$2.6B net debt / ~4.0x leverage target for year-end. At \$10.59, the market is saying: the near-term default risk was bought off at a punitive price, but earnings are falling and nobody is coming to buy the company. Our benches found no evidence the market is wrong about any of that.

Why we might have edge

Honestly: not much, and the court cut the idea’s “worth arguing about” score from 7/10 to about 4/10. What genuinely remains open, where careful work could get ahead of the crowd:

1. **The close calendar.** If Tessenderlo’s investment actually closes (the tell would be a Schedule 13D filing — a 20% owner with a board seat must file one), and the India and Newark sales close, the balance-sheet repair is real and checkable before the market fully credits it.
2. **The purchase agreement itself.** Neither bench could read the actual contract (SEC.gov blocked our fetches; we worked from a secondary mirror). If the agreement turns out to have a near-unconditional close — no material-adverse-change escape, a hard deadline — that materially raises the odds the \$400M arrives.
3. **Product mix.** The bull case’s strongest surviving thread is growth in FMC’s differentiated newer insecticide products; two more quarters of that mix growing ~35% with pricing on the older diamide products stabilized would change the earnings trajectory story.

Why it might be priced in

The core of the court’s finding is that the market isn’t missing anything — *we* almost did. The stock’s decline from the June 30 signing to today tracks the July 29 guidance cut. The “strategic buyer paid \$13.30” anchor is stale information. The financing that “fixed” solvency was priced by lenders at 8% with first-priority liens across five countries — credit risk *priced*, not disproved. And even the deleveraging plan, if it works perfectly, lands at ~4.0x leverage against an EBITDA base that is still shrinking — if 2027 EBITDA drifts to \$600M or below, leverage creeps back up with no asset sales left to pull. There is also no takeover put: the change-of-control carve-outs in the Tessenderlo covenants leave the door legally open, but the February–June strategic review already tested that door and nobody walked through at a price the board would take.

What we checked ourselves

claim	how checked	found	confirmed?
“\$13.30 Tessenderlo price is a live valuation floor”	Pulled the primary press releases and compared dates: Q1 results reaffirming guidance, Apr 29 vs. investment signed Jun 30 vs. guidance cut Jul 29	Anchor predates the cut; the binary “deal-break risk vs. market disagreement” is a false choice	REFUTED (this was the original thesis’s central claim — our own triage framed it wrong)
Guidance cut magnitude	Jul 29 release vs. Apr 29 release	FY EBITDA \$670–730M → \$620–680M; EPS \$1.63–1.89 → \$1.19–1.49; Q3 EBITDA guided ~–45%	CONFIRMED
“\$13.30 was an arm’s-length price for ordinary shares”	8-K deal terms (via secondary mirror; SEC.gov blocked us)	Price buys a governance bundle: board seat + observer, standstill, 36-month lock-up, resale bans to competitors/activists	CONFIRMED (mirror-grade only)
“The 8% notes refute the solvency worry”	FMC notes-pricing release	Secured at 8.00%, but proceeds retire the Oct-2026 maturity — solvency <i>timing</i> genuinely de-risked at a punitive	CONFIRMED, with our bench error corrected

claim	how checked	found	confirmed?
		cost. Our own red bench erred here: it compared <i>annual</i> interest (~\$96M) against <i>quarterly</i> EBITDA (\$120–140M) to imply near-1x coverage; the correct quarterly comparison is ~\$24M vs. \$120–140M, about 5–6x. Blue bench caught it.	
“The Tessengerlo covenants block any takeover”	Deal terms, mirror	Second red-bench error: the vote-with-the-board covenant excludes change-of-control matters and the standstill falls away on a takeover. The no-floor conclusion survives anyway, via a different fact: the Feb-2026 strategic review ended in a minority raise, i.e., a full sale was tested and didn’t happen	REDUCED — conclusion stands on the corrected mechanism
“The Aug 7 Schedule 13G shows Tessengerlo closed”	Filer identity on the accession	Filer is a passive institution; a 20% holder with a board seat would file a 13D. Close not confirmed as of Aug 9	REFUTED as close-evidence
Year-end \$2.6B / ~4.0x leverage target is achievable	Tried to read the purchase agreement; SEC.gov returned 403 both benches	Needs ~\$1.2B of second-half proceeds across three conditional closes; contract escape clauses and deadlines unknown	UNVERIFIED
Bull-case “Brazil treated hectares +40%”	Satellite crop-index check attempted	Pre-flight returned no observations (needs field coordinates)	UNVERIFIED
Live quote / crowding & positioning check	Broker connection	Permission denied this session on both benches; tape facts rest on the evidence pack (\$10.59)	GAP

PROPOSED ENTRY BANDS

The court’s proposal is no entry at any current price — this is not a “cheap enough” question, so there is no buy limit. Both benches, at 8/10 conviction, land flat with no resting orders. Per doctrine, here are the **reopen conditions**, drawn from the benches’ own findings — reopening means re-courting the name, not buying:

- **Reopen on close confirmation:** a Tessengerlo **Schedule 13D** filing (the definitive sign the \$400M closed), or 8-Ks confirming the India and Newark divestitures closed. All three together fund the ~\$1.2B second-half deleveraging path.
- **Reopen on contract visibility:** the actual stock purchase agreement becomes readable and shows a near-unconditional close (no material-adverse-change out, hard outside date).
- **Reopen on fundamentals:** two consecutive quarters of the differentiated-product mix growing ~35% with diamide pricing stabilized, or any post-July-29 statement from Tessengerlo standing behind the deal at the cut guidance.
- **Price tripwires (for re-review, not orders):** a break **below \$9.95** (new 52-week low — the damage is arriving faster than guided; re-check for forced-seller dislocation) or a recovery **above**

\$13.30 (market has repriced past the stale anchor without close confirmation — thesis permanently dead, close the file).

- **Sizing:** 0% of book now. If a reopened court passes, initial size would be set then; nothing in this court's math supports pre-committing a number.
- **Catalyst dates:** next earnings ~**Oct 28, 2026** (derived from data services, **unconfirmed** by any company announcement); year-end 2026 is the company's own deadline for the \$2.6B / ~4.0x leverage target.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 9.95 (deck-provisional: new 52-week low - damage arriving faster than guided; re-check for forced-seller dislocation)
- filing watch: SC 13D until 2027-02-05 (deck-provisional: Tessengerlo 13D = the \$400M investment closed; the Aug-7 13G was a passive institution, not the deal)
- dated pack FMC|2026-10-28: FMC: Q3 2026 earnings - guided EBITDA -45%; date is data-derived, not company-confirmed (date confirmed=False)
- dated pack FMC|2026-12-31: FMC: company's own \$2.6B net debt / ~4.0x leverage target date - needs ~\$1.2B of H2 proceeds from three conditional closes (date confirmed=F)

What remains unverified

- **The purchase agreement itself** — escape clauses, deadlines, termination rights. Everything we “know” about the deal terms comes from a secondary mirror because SEC.gov blocked both benches' fetches. This is the single most important unread document.
- **Whether the Tessengerlo investment has closed** — no 13D, no post-cut reaffirmation from Tessengerlo as of Aug 9.
- **The Brazil demand claim** (+40% treated hectares) — our satellite check never produced observations.
- **Crowding and positioning** — broker data was inaccessible both benches, so we cannot say who is on the other side or how consensus this bearish view already is. Note the irony: our verdict is “it's priced in,” and the one check we couldn't run is the one that measures pricing-in directly.
- **The earnings date** (Oct 28) — data-service-derived, no company confirmation.
- **2027 EBITDA direction** — the passive re-levering risk (leverage creeping back above 4x on a shrinking earnings base) is asserted from guidance trajectory, not from any 2027 forecast we independently built.

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